Research Report

6 Jan 2026

Bloom Energy Corporation(BE US)

A Solid Oxide Fuel Cell Player Set To Bloom In The Opportunity Of AI-Driven Onsite Power Generation Solutions: Initiation

Investment Focus

Initiate with OUTPERFORM

Rating	OUTPERFORM
Current Price	98.69
Target Price	137.81
Market cap	23.34bn
Shares in issue	236.5mn
1 yr high - low	142.37-16.32

Note: Current Price 98.69 is the close price on 2 Jan 2026



Source: HFI

US$ mn	Dec-24A	Dec-25E	Dec-26E	Dec-27E
Revenue	1474_	1859_	2342_	4557_
(+/-)	10%	26%	26%	95%
Net profit	65	116	243	1,070
(+/-)	-	79%	110%	341%
Diluted EPS (US$)	0.28	0.38	0.78	3.40
GPM	28.70%	29.60%	32.40%	35.50%
ROE	-1.40%	-2.60%	3.90%	16.90%
P/E	347	260	127	29

Source: Company data, HFI

Bloom Energy (BE) is positioned as a premier provider of Solid Oxide Fuel Cell (SOFC) technology, which is uniquely suited to address the surging power demand from the AI data center (AIDC) sector. As US electricity demand is projected to surge by up to 25% by 2030, the grid is failing to keep pace due to aging infrastructure and interconnection delays that can exceed nine years. BE's time-to-power advantage allows for deployment in as little as 55 days, offering a alternative to multi-year utility wait times. This immediate scalability, combined with fuel cells' superior electrical efficiency (exceeding 60%), makes BE a leading choice for hyperscalers requiring reliable, 24/7/365 constant full-load power.

The company's strategic pivot toward the AI ecosystem is validated by a high-profile "lighthouse" customer base, including Oracle, Equinix, and a landmark $5 billion partnership with Brookfield Asset Management. Financial momentum is accelerating, evidenced by record Q3 2025 revenue of $519 million—a 57% year-over-year increase—and expanding non-GAAP gross margins of 30.4%. To meet this surging backlog, BE is doubling its manufacturing capacity to 2 GW by 2026, with further scalability up to 5 GW.

A bullish outlook for 2026. Beyond data centers, BE is successfully penetrating new verticals, such as gas providers, through innovative "go-to-market" strategies. BE's modular architecture and leadership by industry veterans provide a stable foundation for growth. As on-site power generation transitions from a niche solution to a primary requirement for 27% of data centers by 2030, Bloom Energy is set for significant long-term expansion.

Valuation& recommendation

We initiate coverage on Bloom Energy with "Outperform". Our 12-month price target is USD 138. We estimate the Non-GAAP EBITDA of BE from year 2025 to 2028 will be USD 215/ 379/ 1,221/2,122 million, reflecting upsides to expectations for ramping revenue and margin. We assign a 26X FY28E EV/EBITDA to our FY28E Non-GAAP EBITDA, as we believe a premium is justified given elevated power demand needs with continued execution and order announcements with improving visibility from recent deals, including the Brookfield partnership.

Risks

Change of base-load power supply bottleneck status; Regulatory limits; Concerns around future cost-savings.

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1. Bloom Energy: Provides an Distributed Electric Power Generation Solution

1.1 Converting natural gas to electricity, without combustion

Bloom Energy is an leading producer of solid oxide fuel cells (SOFC), which run on natural gas to produce electric power without combustion. The company is headquartered in San Jose, CA.

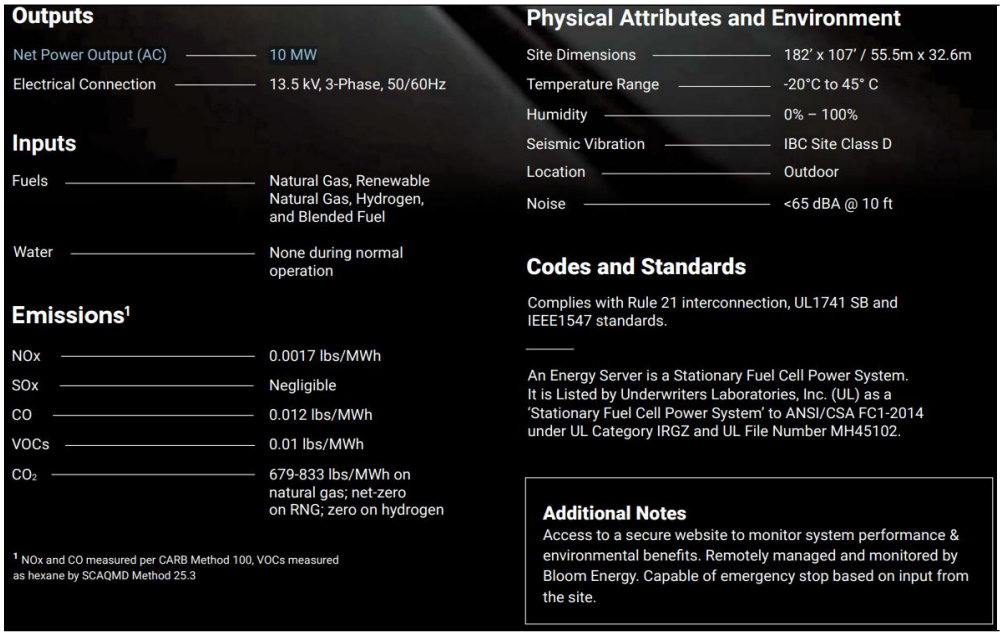
Its flagship commercial offering is the Bloom Energy Server Series 10, which is particularly tailored for the rapid-growth data center and large-scale industrial markets. The Series 10 is a modular 10 MW fuel cell block designed for unprecedented speed-to-market, **capable of being shipped in as little as 50 days vs 9 to 12 months pre-2022.** Technically, the Series 10 leverages BE's solid oxide technology to provide 24/7 "AlwaysOn" power with 100% output guaranteed, is net-zero compliant, and is fuel-flexible — meaning it can run on natural gas today and transition to 100% hydrogen in the future without hardware changes.

Figure: BE's SOFC converting natural gas to electricity, without combustion



Source: Company, HFI

Figure: Bloom Energy Server Series 10 specifications



Source: Company, HFI

BE is also a producer of Solid Oxide Electrolyzers Cells (SOEC) with its product Bloom Electrolyzer, which generates hydrogen from electricity, providing clean, carbon-free fuel for power generation. Running at high temperatures and high availability, the pilot results reveal the Bloom Electrolyzer is producing hydrogen at 37.5 kWh per kilogram of hydrogen at the system level. Alternative efficient electrolyzer technologies, such as PEM or Alkaline, consume as much as 52 – 54 kWh per kilogram of hydrogen produced.

BE operates in four business segments: Product, Installation, Service and Electricity:

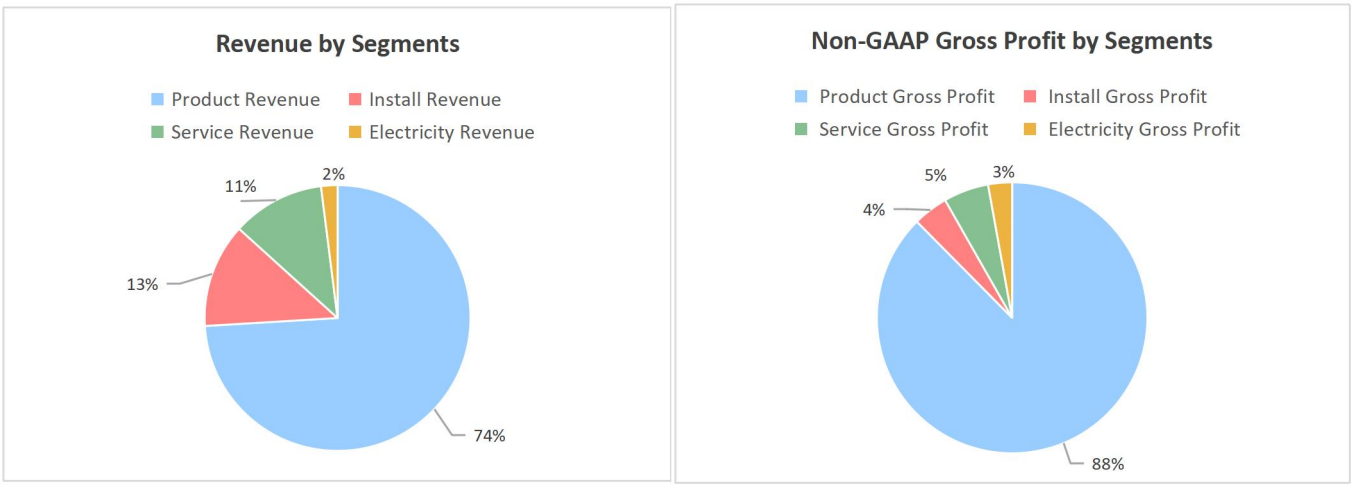
Product segment is the primary engine of revenue, including two products: the Bloom Energy Server for generating electricity and the Bloom Electrolyzer for producing hydrogen. While the Bloom Electrolyzer is transitioning to commercial scale, nearly all of the product revenue has been attributable to sales of the Energy Server system. Overall, Product contributes over 70% of total revenue with non-GAAP gross margins expanding toward 36% as of 3Q25. This growth is driven by massive "gigawatt-scale" agreements, such as the $5 billion landmark partnership with Brookfield Asset Management. We believe further manufacturing capacity additions to capture the AI power demand bloom should drive revenues higher while margins should benefit from fixed cost absorption as utilization ramps up.

Installation is simply the extra costs associated with installing fuel cell systems at customers' sites. Installation contributes over 10% of total revenue. While historically a low-margin drag, the segment has a 10% gross margin as of 3Q25, as the costs are increasingly optimized through better plant designs and the rapid "90-day" deployment strategy for high-load customers.

Service segment revenue are driven by maintenance and repair work done on fuel cell. Service accounts for more than 10% the total revenue and has undergone a successful turnaround, marking seven consecutive quarters of profitability by 3Q2025. The segment now generates double-digit non-GAAP gross margins (reaching 14.4% in 3Q25). This shift is the result of improved fleet reliability and the phasing out of older, high-maintenance legacy equipment in favor of newer, more efficient server generations.

Lastly Electricity contains the PPAs under which BE previously sold many of its fuel cell systems. The customer would pay BE for the power rather than the fuel cell itself and BE would typically execute a sale-leaseback or tax equity finance the asset. This segment accounts for 2% of revenues and generates 43.5% gross margins in 3Q25. The company has moved away from PPAs and intends to simplify the remaining PPA structures over time.

Figure: BE's revenue by segments and Non-GAAP gross profit by segments



Source: Company, HFI

BE maintains a vast and diverse customer footprint, covering not only data centers but also commercial and industrial (C&I) users, with 1.5GW+ applications in 1200+ location as of end Q3 2025 globally. BE's strategy is deliberate and simple. In each vertical, BE establish credibility with a lighthouse account and then build on that success with other tier-one customers. BE ran this playbook last decade in the telecom business, landing first AT&T in 2011 and then competitors like T-Mobile to become "the standard for on-site power" in that industry. Today, BE are a go-to onsite power choice for US telecom companies and it is following the same playbook to become the standard onsite power solution for AI.

Figure: BE's diverse customer footprint, with Growing AI Concentration



Source: Company, HFI

With the AI up-cycle, the company has strategically pivoted toward the AI ecosystem, which has become its dominant growth engine. BE now has secured "lighthouse" partnerships with hyperscalers like Oracle; electricity providers like American Electric Power (AEP), which sells power to Amazon Web Services; colocation firms like Equinix, "neoclouds" like Coreweave, gas providers, and data center developers. In October, BE announced an $5 billion strategic AI infrastructure partnership with Brookfield Asset Management, signaling cooperation with large infrastructure funds. In addition, due to BE's proprietary technology, there is a 100% attach rate of services to product sales. C&I customers typically sign service agreements of approximately 15 years, while data center customers average closer to 5-6 years to more closely align with GPU depreciation schedules.

BE is doubling its manufacturing capacity to 2 GW by 2026 to support its AIDC concentration, positioning its SOFC as mission-critical infrastructure for the accelerating digital revolution. The process is expected to take 6-9 months. The company noted that the $100-150mm capex spend to expand capacity by to 2 GW can be potentially paid back in less than a year. We believe this relatively capex-light capacity expansion provides reason to believe the company can scale capacity as needed, based on sustained customer demand. In addition, the current facilities in Fremont, California and Newark, Delaware are designed to be scalable up to 5 GW as needed.

Table: BE's AI & Data Center Milestones

Bloom Energy's AI & Data Center Milestones		
Date	Partner	Milestone Description
Nov-24	**American Electric Power (AEP)**	Signed an agreement for up to **1 GW** of fuel cells—the largest utility deal of its kind. AEP is using these to bypass grid constraints
Nov-24	**Quanta Computer**	Expanded an existing installation by **150%** specifically to power critical AI industry hardware.
Jan-25	**Market Insight**	Released a survey highlighting a **35 GW energy gap** by 2030, reinforcing the shift to primary onsite generation for AI.
Feb-25	**Equinix**	Expanded their partnership to exceed **100 MW** of power across 19+ International Business Exchange (IBX) data centers in the U.S.
Feb-25	**Chart Industries**	Launched a carbon capture partnership to provide **near-zero carbon power** using natural gas, addressing the sustainability
Jul-25	**Oracle**	Partnered to deliver onsite power for **Oracle Cloud Infrastructure (OCI)** AI data centers, with a 90-day deployment guarantee.
Oct-25	**Brookfield**	Announced a **$5 billion strategic partnership** to build "AI Factories." Bloom became the preferred power provider for

Source: Finance Yahoo, HFI

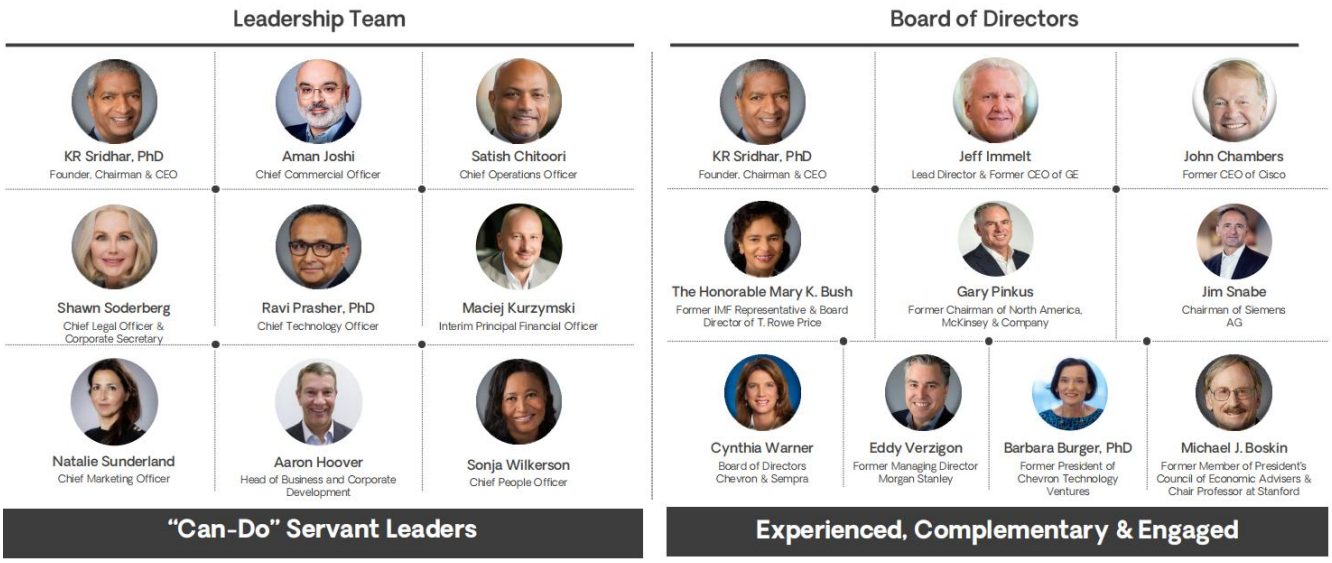
Figure: BE's CA and DE Factories



Source: Company, HFI

BE is steered by a leadership team of seasoned visionaries and industrial experts, leading by its Founder and CEO, Dr. KR Sridhar, a former NASA scientist whose work on Mars oxygen technology forms the company's core platform. The management team includes Aman Joshi (Chief Commercial Officer), who spearheads the company's pivot to AI and data centers, Satish Chitoori (COO), who oversees global manufacturing expansion, and Ravi Prasher (CTO), who leads R&D in fuel cells and hydrogen. The strategic direction is further strengthened by a high-profile board featuring industrial veterans like Jeff Immelt (former GE CEO), John Chambers (former Cisco CEO), and Jim Hagemann Snabe (Chairman of Siemens).

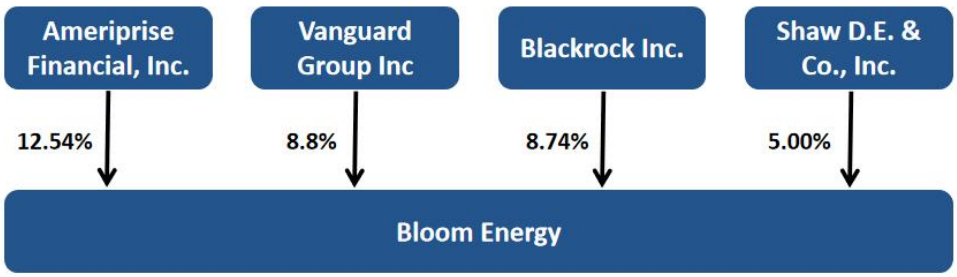
Figure: Leadership Team & Board



Source: Company, HFI

BE's ownership structure is predominantly institutionally held. As of September 30, 2025, Ameriprise Financial Inc. is the largest shareholder with a 12.54% stake, while the top four shareholders—Ameriprise Financial Inc., Vanguard Group Inc., Blackrock Inc., and D. E. Shaw & Co., Inc.—collectively hold approximately 35.08%. This high level of institutional ownership, which rose to 97.69% in Q3 2025, provides stable governance support and signals strong external confidence in the company's large-scale commercialization potential.

Figure: BE's top four holders



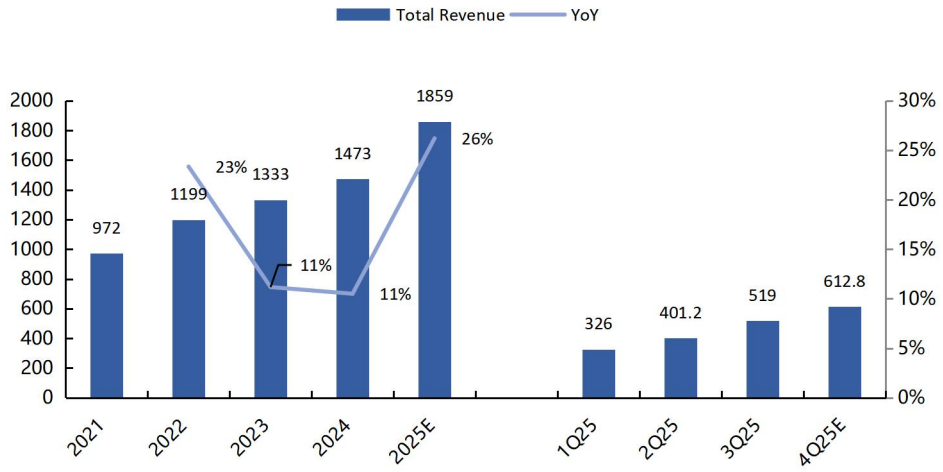
Source: Finance Yahoo, HFI

1.2 Financial performance highlights

BE achieved a landmark performance in the third quarter of 2025, with total revenue reaching a record $519.0 million—a staggering 57.1% year-over-year increase from $330.4 million in Q3 2024. This growth was primarily catalyzed by unprecedented time-to-power needs from the AI sector, most notably evidenced by the recognition of $288 million in revenue related to the newly announced $5 billion strategic partnership with Brookfield.

It is worth noting that the revenue growth slowed during 2022-2024 due to a strategic pause in South Korea, its largest international market, as the company adapted to new government clean energy policies. This transition created a lack of clarity regarding shipment timings and project bidding. Domestically, growth was hindered by extended sales cycles for large-scale projects and phase-out of Electricity revenue during the same period. These headwinds are now behind the rearview mirror.

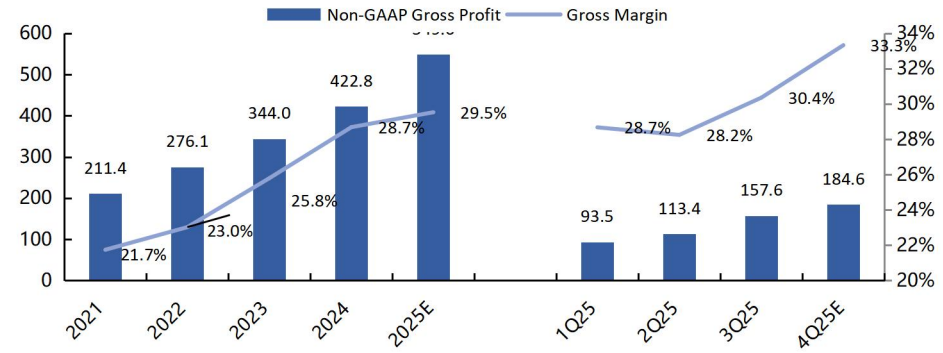
Figure: BE's 2021-2025Q3 Revenue (USD mn) & YoY (%)



Source: Company, ifind,HFI

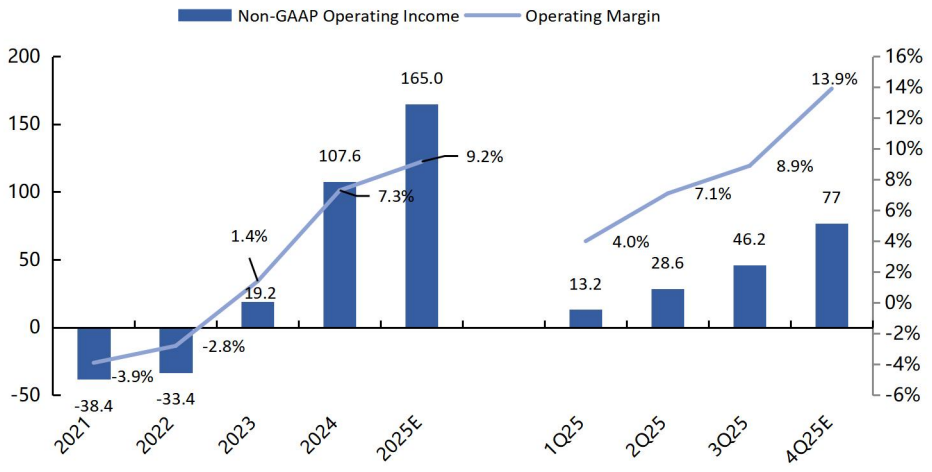
The company's profitability also saw significant expansion. Non-GAAP gross margin rose to 30.4%, up 2.2 percentage points from Q2 2025, driven by a decade-long trend of reducing manufacturing costs through engineering innovation and economies of scale. Furthermore, BE reported a Non-GAAP operating margin of 8.9%, a sequential increase from 7.1% in Q2 2025. This improvement reflects enhanced operational leverage and disciplined efficiency across R&D and G&A functions, even as the company prepares to double its manufacturing capacity to 2 GW by late 2026 to meet its surging AI-driven backlog.

Figure: BE's 2021-2025Q3 GP (USD mn) & GM (%)



Source: Company, ifind,HFI

Figure: BE's 2021-2025Q3 OP (USD mn) & OM (%)



Source: Company, ifind,HFI

The company reaffrimed its guidance in Q3 and expects FY25 results to be above the high-end of the existing guidance range, though specific guidance was not set due to timing of a large data center project announcement before year-end. With milestones deals with AIDCs stakeholders, we believe that BE's ability to deliver power in as little as 55 days (as seen with Oracle) provides a critical competitive advantage over the multi-year wait times associated with traditional utility grid connections.

Table: Reaffirming 2026 Guidance

	2025 Outlook
Total Revenue	$1.65B-$1.85B
Non-GAAP Gross margin	~29%
Non-GAAP Operating Income	$135M-$165M

Source: Company, HFI

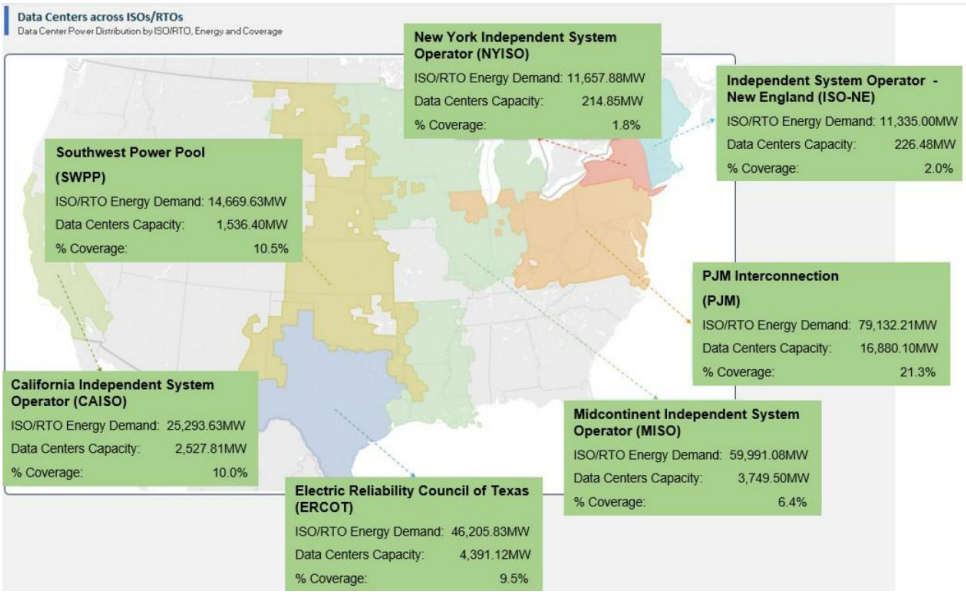
2. SOFC: A New Solution for AIDC Power Supply

2.1 US hyperscalers resorting to on-site power

Recent years have seen a dramatic pivot in US electricity demand, driven largely by the rapid expansion of AIDCs. After decades of relatively flat consumption growth, total US electricity demand is now projected to surge by as much as 25% by 2030, according to ICF. Growth is largely propelled by the computational needs of generative AI, which requires 24/7/365 constant full load power capacity to be online within 6 to 12 months.

In addition, the usage pressure has become more acute for some regions in recent 2 to 3 years. As hyperscalers rush to build the infrastructure necessary for generative AI training and inference, regions like CAISO, ERCOT, and SWPP saw AIDC build-ups accounting for c.10% mix of total electricity demand, while PJM has c.21% demand contributed by DCs.

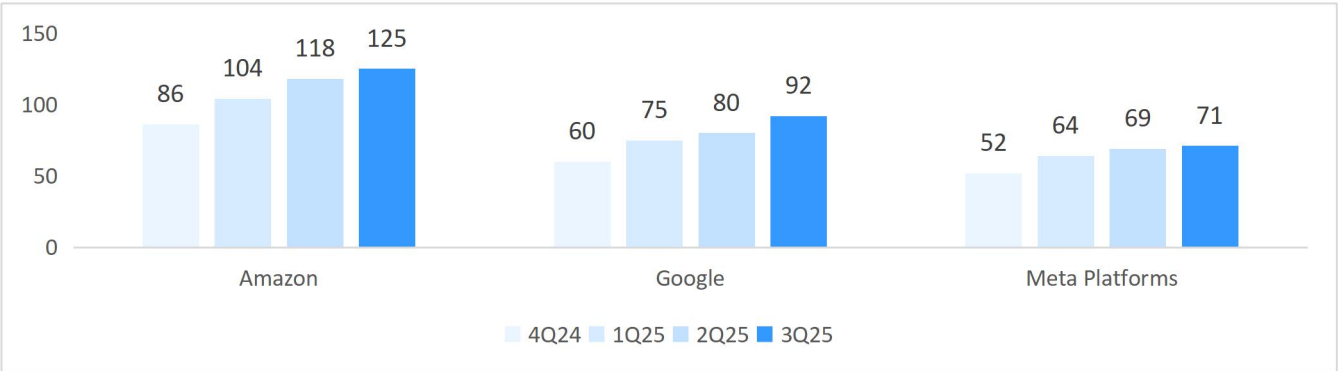
Figure:US DC power demand by ISOs/RTOs



Source: FERC, HFI

Furthermore, as more AIDCs being built, they are becoming more power-hungry. With the widespread adoption of AI, we see a further speed-up in data centre construction in 2026 validated by the heightened capex guidance provided by the leading US hyperscalers in 2025. Also, AIDCs also getting bigger with the expected median size of an AI data center to reach 250–300 MW by 2030—a 50% increase over current levels. This shift is fueled by surging demand for both training and inference, alongside the deployment of high-performance hardware like NVIDIA's Blackwell GPUs, which consume approximately 1,000 watts per unit.

Figure: US rising full-year capex guidance from key hyperscalers, 1Q25-3Q25 (USD bn)



Source: Bloomberg, HFI

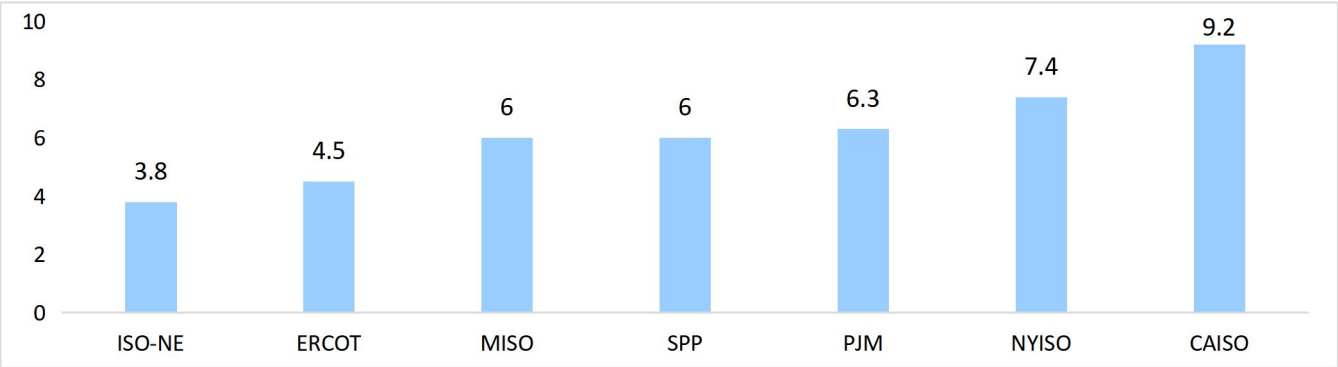
Supply and the grid is not keeping pace with the rocketing power demand, however. The total effective capacity grew by only 2% from 2019 to 2024. While the US added over 160 GW renewable assets from 2019 to 2024, they have low effective capacity factors (i.e., portion of time actually generating electricity) as solar only works with the sun is out and wind turbines only when there is sufficient wind. Retiring 59G of coal capacity over the same period compound the problem, causing an overall 36GW net decline in dispatchable power. Also, the US has lagged in adding transmission capacity primarily due to aging infrastructure, the immense difficulty of obtaining land-use permits for cross-state lines, and a massive backlog in the interconnection queue that may even take over nine years to clear.

Table: More renewable less coal makes capacity additions smaller than they appear

Power supply capacity addition over 2019-2024			
Nameplate capacity (GW)	**2019**	**2024**	**% change**
Dispatchable power	947	912	-4%
Intermittent	250	413	65%
Total	**1,198**	**1,325**	**11%**
Capacity factor			
Dispatchable power	58.80%	58.10%	
Intermittent	41.30%	34.80%	
Effective Capacity			
Dispatchable power	557	530	-5%
Intermittent	103	144	39%
Total	**660**	**674**	**2%**

Intermittent power generation (e.g., solar, wind) generate electricity less often than dispatchable power
Source: EIA, HFI

Figure: US interconnection wait times at key ISOs (years)



Source: Everus Power &Renewables, HFI

Consequently, data center developers are turning to on-site power generation solution. With on-grid solutions unable to meet immediate needs, on-site powers are gaining traction for DCs that face limited grid access but need fast, reliable start- up. On-site microgrids, combining distributed energy resources and battery storage (BESS), provide a flexible, locally controlled power solution that boosts reliability, cuts transmission losses and lowers reliance on diesel generators as back-up power.

Also, regulations are pushing on-site power generation as well directly or indirectly. The proposed federal rules would favor data centers that have collocated power generation. State rules are likely to increase the electricity costs through either higher rates, contract terms, or renewable requirements. Both trends make on-site generation more attractive, in our view.

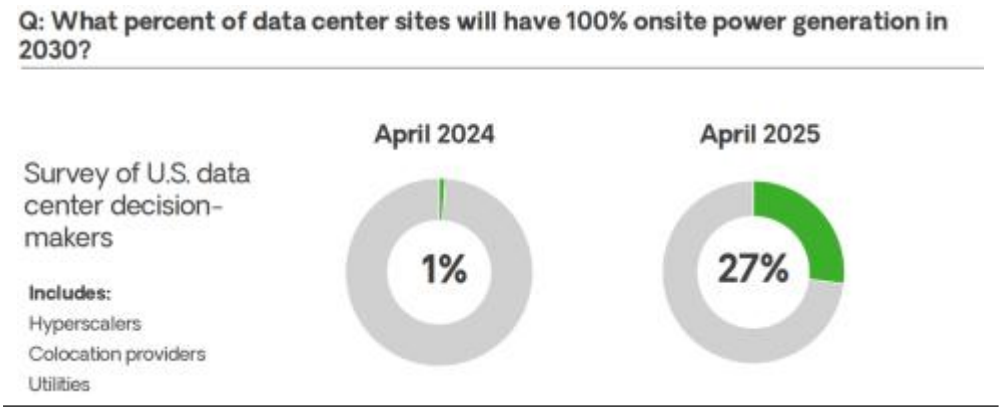
Based on a survey pulled by Bloom Energy, 27% of data centers decision makers in April 2025 said they will be fully powered by on-site energy sources by the year 2030 vs. 1% in one year earlier.

Table: Examples of recent regulatory actions

Examples of recent regulatory actions		
Federal	October	Secretary of Energy Chris Wright initiated rulemaking to accelerate connection of large loads, historically defined as over 20 megawatts (MW) with the aim to "ensure efficient, timely, and non-discriminatory load interconnections." Data centers that add on-site power generation or agree to voluntarily reduce demand during peak times could get expedited reviews (e.g., 60 days versus current years-long processes).
State	April	South Carolina's state-owned utility began charging a higher rate to customers >50 MW.
	June	Texas passed legislation (SB 6) that requires the PUCT to create rules that large load customers (>75 MW) contribute to interconnection costs and agree "only after all available market services have been deployed" to use backup generating facilities during emergencies.
	July	the Public Utilities Commission of Ohio ordered AEP Ohio to file new tariffs applying to data centers.
	August	the Arkansas Public Service Commission approved Arkansas Electric Cooperative Corporation new Transmission Extension of Facilities Tariff, which puts higher costs to customers exceeding 50 MW.

Source: Bloomberg, HFI

Figure: 27% of DC cites says they will have 100% onsite power generation in 2030

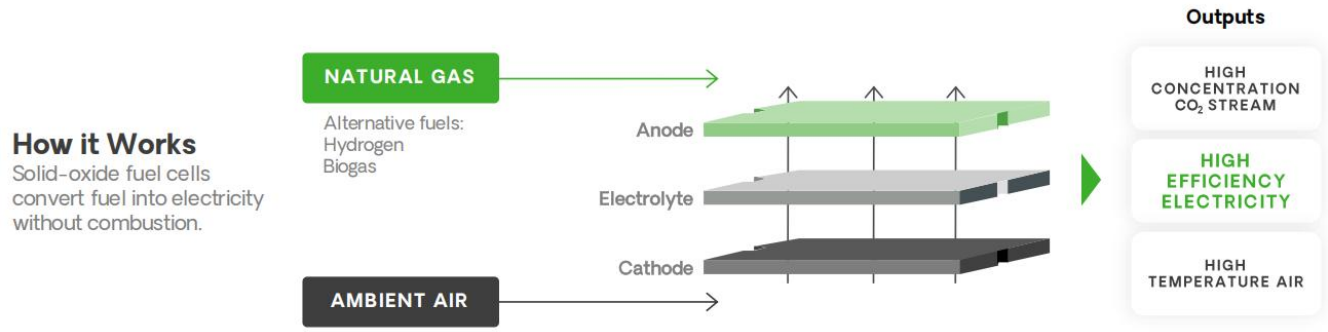


Source: Company, HFI

2.2 SOFC: an ideal onsite power generation solution

SOFCs generate electricity through electrochemical reactions—without combustion. They use a solid ceramic electrolyte that conducts oxygen ions at high temperatures (600–1,000°C). Air flows to the cathode, where oxygen molecules gain electrons and become oxygen ions. These ions travel through the electrolyte to the anode, where they react with fuels like hydrogen or natural gas, producing water, carbon dioxide (if using hydrocarbons), and releasing electrons. The electrons flow through an external circuit, creating usable electric current before returning to the cathode.

Figure: How Fuel Cell Technology Provides Electric Power



Source：Company, HFI

Popular onsite power generation technology routes includes nuclear, gas turbines, solar, SOFC and SMR. We summerized the key elements below, while cost is important (measured by LCOE), developers also prioritize speed to market (Time to power) and physical constraints (Land and Siting):

Table: Different technology routes of onsite power generation

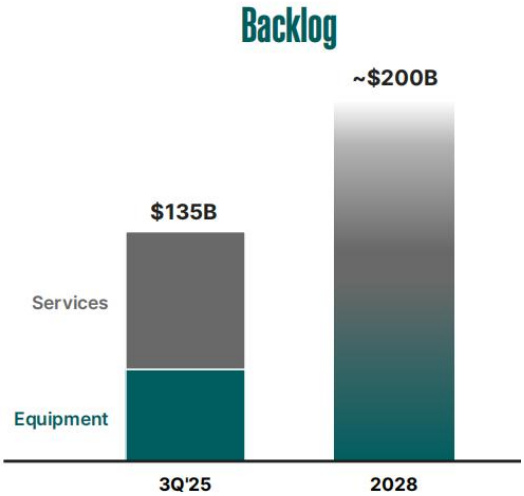
Technology	LCOE ($/MWh)	Time to power	Land need for co-location	Siting challenge
Solar + 4 hour storage	$81-135	1-2 years*	Large	Low
Large sized gas turbines	$70-80	~4 years	Small	Mid
Medium sized gas turbines	$80-90	~2 years	Small	Mid
Gas engines	$110-120	1-2 years*	Small	Mid
Solid Oxide Fuel Cell-NG	$90	<1 year	Small	Mid
Nuclear-new	$180	>10 years	Large	High
Nuclear-operating	$80-90	1-2 years*	High	Low
SMR	$88-155	>5 years	Small	High

*does not include interconnection queues and permiting delays that can add up to 5-7 years
Source：BloombergNEF, Wood Mackenzie, NREL, HFI

The comparison suggests that data center developers are facing a balancing act. While DC developers evaluating more than just cost in technology decisions, SOFCs are structurally advantaged for DC applications offering higher efficiency, modularity and shorter lead times than gas turbines.

- **Excellent time-to-power capacity:** SOFC Orders can be deployed in a matter of months (or within 90 days in the case of Bloom Energy's deal with Oracle), whereas utility connection can take years in some parts of the US and 3+ years lead times for gas turbines. Other distributed power options, such as solar-plus-BESS systems and operating nuclear plant co-location solutions, require extra regulatory approvals and potentially substantial land area.

Figure: GEV's massive gas turbines backlogs in 2028



Source: GEV, HFI

- **Higher Efficiency:** SOFCs convert chemical energy directly into electricity via electrochemical reactions, bypassing the thermal losses of combustion engines. This allows them to achieve electrical efficiencies exceeding 60%, which makes up for higher OpEx from a shorter designed lifecycle of 5-7 years. Crucially, SOFCs maintain high efficiency during "part-load" operations, whereas gas turbines suffer significant efficiency drops when not running at peak capacity.

- **Modularity:** Built from scalable, independent power stacks, SOFCs offer a "Lego-like" architecture. This allows operators to add power capacity in small increments to match IT load growth, preventing the massive upfront over-provisioning required by large turbines. This modularity also enhances redundancy; a single module failure does not compromise the entire facility's uptime.

Figure: BE's product modularity



Source：Company, HFI

3. Bloom Is Set to Bloom

we are bullish on Bloom into 2026 on increased demand for micro-grid solutions that offer 24x7 power, execution against building the backlog, and further increased penetration. We see a substantial power bottleneck emerging in the next 3 years and would expect to see further evidence of this trend in 2026 as utility interconnect times get longer, onsite power solutions are pursued more broadly, and power prices rise in the market.

3.1 Building and executing on order backlog

Building and Executing on Order Backlog: BE is poised to showcase robust execution in delivering on its expanding backlog, fueled by key high-profile contracts secured in 2025. BE delivered volumes for first ORCL site within 55 days (revenue recognized in 3Q) vs 90 day commitment. We think smooth execution here could lead to follow-on orders with Oracle, and the company indicated it is working on multiple potential project opportunities with Oracle. Brookfield also plans to announce a Bloom-powered European AI inference data center project by the end of the year and may want to triple the investment very quickly in the next two to three years. Notable signs of advancement of the agreement with AEP regarding the remaining 900MW orders surfaced in 2025, including regulatory approvals, may also lead to further expansion orders to roll out going forward.

3.2 A new "go-to-market" strategy

A new "go-to-market" stategy: Bloom Energy (BE) has introduced a novel go-to-market strategy by securing a Q3 agreement with a major gas provider. Under this deal, the provider will utilize BE's fuel cells to convert natural gas into onsite electricity for a hyperscale data center. This aligns with a growing trend where oil and gas firms, such as Williams (WMB) and Liberty Energy (LBRT), are exploring fuel cells for data center power. We view this contract as a significant validation of BE's technology and a catalyst for further expansion into this vertical. As BE prepares to double its capacity to 2 GW next year, this momentum strengthens its status as a scalable leader in onsite power.

4. Valuation& recommendation

We initiate coverage on Bloom Energy with "Outperform". Our 12-month price target is USD 138. We estimate the revenue of Bloom Energy from year 2025 to 2028 will be USD 1,859/ 2,342/ 4,557/ 7,274 million, with the Non-GAAP EBITDA of USD 215/ 379/ 1,221/2,122 million, reflecting upside to expectations for ramping revenue and margin. We assign a 26X FY27E EV/EBITDA to our FY28E Non-GAAP EBITDA, as we believe a premium is justified given elevated power demand needs with continued execution and order announcements with improving visibility from recent deals, including the Brookfield partnership.

Table: Valuation Model

EV/EBITDA Valuation	
Valuation Terminal Date	**12/31/2028**
Non-GAAP EBITDA 28E	**2,122.0**
EV/EBITDA	**26**
EV 28E	55,172
Total Debt 28E	2,694
Total Cash 28E	2,082
EquityValue 28E	54,560
Diluted Shares 28E	316
PT 28E	173
Discounted Rate	12%
PT 12-month	**137.81**
Current	98.69
Upside/Downside	**40%**

Source: Company, HTI

Table: Financial Summary

Balance Sheet (USD mn)	FY24A	FY25E	FY26E	FY27E	FY28E
Cash and cash equivalents at end of period	803	947	912	1143	2082
Accounts Receivable, Net	336	443	569	1064	1692
Inventories	545	436	560	1048	1666
Prepaid Expenses and Other Current Assets	191	304	304	304	304
Total Current Assets	**2044**	**2162**	**2377**	**3591**	**5776**
PP&E	403	402	466	525	577
Restricted Cash	111	8	8	8	8
Other LT Assets	169	163	163	163	163
Total Assets	2657	2755	3033	4306	6543
Accounts Payable	93	234	278	488	777
Accrued Warranty	17	15	15	15	15
Other Current Liabilities	138	226	226	226	226
Deferred Revenue and Customer Deposits	243	56	56	56	56
Current Portion of Debt	146	1	1	1	1
Total Current Liabilities	**637**	**533**	**577**	**787**	**1076**
Deferred Revenue and Customer Deposits	243	56	56	56	56
Recourse debt	1010	1138	1176	1214	1252
Other Long-term Liabilities	378	332	332	332	332
Total Liabilities	**2072**	**2037**	**2119**	**2367**	**2694**
Additional Paid-in Capital	4463	4642	4642	4642	4642
Accumulated Deficit	-3898	-3948	-3751	-2727	-816
Total Equity	**562**	**693**	**890**	**1914**	**3825**
Non-controlling Interest	23	24	24	24	24
Total Liabilities & Equity	**2657**	**2755**	**3033**	**4306**	**6543**

Cash Flow Statement	FY24A	FY25E	FY26E	FY27E	FY28E
Cash Flow from Operating Activities					
Net Income (Loss)	-29	-66	122	950	1836
Loss Attributable to NCI	2	1	1	1	1
Depreciation and Amortization	53	51	56	62	68
Stock-based Compensation	17	23	28	28	28
Other	38	101	0	0	0
Net Cash Provided by Operating Activities:	**92**	**65**	**93**	**359**	**1067**
Cash Flow from Investing Activities					
Capital Expenditures	-59	-49	-120	-120	-120
Net Cash Provided by Investing Activities:	**-59**	**-73**	**-120**	**-120**	**-120**
Net Cash Provided by Financing Activities:	**175**	**41**	**-8**	**-8**	**-8**
Net Increase (Decrease) in Cash and Equivalents	**138**	**144**	**-35**	**231**	**939**
Cash and cash equivalents at beginning of period	665	803	947	912	1143
Cash and cash equivalents at end of period	803	947	912	1143	2082

IS (USD mn)	FY24A	FY25E	FY26E	FY27E	FY28E
Total Revenue	**1474**	**1859**	**2342**	**4557**	**7274**
Total GAAP Cost of Revenue	1069	1333	1610	2966	4758
GAAP Gross Profit	**405**	**525**	**731**	**1591**	**2517**
Total PF Cost of Revenue	1051	1309	1582	2938	4730
PF Gross Profit	**423**	**549**	**759**	**1619**	**2545**
Research & Development	149	180	201	213	231
Sales & Marketing	68	118	124	134	145
General & Administrative	165	194	203	205	207
Total GAAP Operating Expenses	382	492	528	552	583
Stock-based compensation	17	23	28	28	28
Total PF Operating Expenses (excl.SBC)	315	385	436	460	491
GAAP Operating Income	23	34	203	1039	1934
PF Operating Income (excluding SBC)	108	164	323	1159	2054
PF EBITDA (excluding SBC)	**161**	**215**	**379**	**1221**	**2122**
GAAP Pretax Income	-26	-63	124	960	1855
GAAP Net Income	**-29**	**-66**	**122**	**950**	**1836**
PF Net Income	**65**	**116**	**243**	**1070**	**1956**

Key Ratios	FY24A	FY25E	FY26E	FY27E	FY28E
Margins / Ratio to Sales					
COGS	71%	70%	68%	64%	65%
Gross Margin	27%	28%	31%	35%	35%
Operating Margin	2%	2%	9%	23%	27%
EBITDA	11%	12%	16%	27%	29%
Net Margin	-2%	-4%	5%	21%	25%
Growth (Year on Year)					
Revenue(Year on Year)	11%	26%	26%	95%	60%
Gross Profit(Year on Year)	13%	1%	3%	4%	0%

Valuation	FY24A	FY25E	FY26E	FY27E	FY28E
EV/ EBITDA con.	-	**100**	**55**	**24**	**20**

Source: Company, HTI

5. Risks

Change of base-load power supply bottleneck status: potential easing of the power-grid interconnection queue; an increase in gas turbine supply; potential competition from other power sources; any higher-than-company-expected order intake leading to potential tightness in production capacity.

Regulatory limits: change in the gas-pipeline regulatory process; ITC policy requirements for FCs

Concerns around future cost-savings: below-expectation cost-savings with scale and efficiency improvements; higher opex from a shorter designed lifecycle of 5-7 years.

APPENDIX

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